Advanced Empirical Finance: Topics and Data Science

Shrinkage for portfolio choice

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Today

- The covariance matrix in high dimensions
- Linear shrinkage of the covariance matrix
- Shrinking expected returns
- Constraints as shrinkage

The covariance matrix in high dimensions

TBD

Linear shrinkage of the covariance matrix

TBD

Shrinking expected returns

TBD

Constraints as shrinkage

TBD

Before the next lecture

- **Exercise 3:** Shrinkage and transaction costs
- **Read:** Brandt, Santa-Clara & Valkanov (2009)